LANKA ORIX LEASING COMPANY PLC

INTERIM FINANCIAL STATEMENTS

YEAR ENDED 31 MARCH 2016

Lanka Orix Leasing Company PLC
Interim Financial Statements
For the year ended 31 March 2016

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Lanka Orix Leasing Company PLC
Statement of Financial Position

	Group			Company	
As at	**31-Mar-16**	**31-Mar-15**	**31-Mar-14**	**31-Mar-16**	**31-Mar-15**
	Rs.'000	**Rs.'000**	**Rs.'000**	**Rs.'000**	**Rs.'000**
	Un-audited	**Un-audited**	**Un-audited**	**Un-audited**	**Un-audited**
		Restated	**Restated**		
Assets					
Cash and cash equivalents	13,725,794	7,934,390	5,173,497	39,203	229,710
Trading assets - fair value through profit or loss	2,413,746	1,106,441	885,802	418,424	514,556
Investment securities	60,951,438	18,302,263	16,172,946	708,747	681,970
Finance lease receivables, hire purchases and operating leases	51,666,748	41,335,375	36,259,242	8,920	1,684
Advances and other loans	161,116,014	98,525,051	54,285,641	1,028,460	1,310,259
Insurance premium receivables	801,165	602,099	449,589	-	-
Inventories	3,645,283	1,833,672	1,868,627	462,760	10,250
Current tax assets	1,011,854	1,183,563	1,103,421	178,335	213,429
Trade and other current assets	10,464,754	9,103,067	7,047,160	17,272,283	5,526,203
Prepaid lease rentals on leasehold properties	742,535	342,816	51,088	-	-
Investment properties	9,073,216	8,807,369	6,655,490	353,000	344,000
Biological Assets;					
Consumer Biological Assets	6,150,990	6,383,655	-	-	-
Bearer Biological Assets	4,811,350	4,657,507	-	-	-
Investments in group companies;					
Subsidiary companies	-	-	-	42,615,931	42,126,050
Jointly controlled entities	-	-	1,204,151	-	-
Equity accounted investees - Associates	16,283,282	15,067,850	13,472,316	7,816,377	7,650,205
Deferred tax assets	490,242	516,785	313,170	80	61,120
Intangible assets	2,482,046	2,251,313	722,549	210,022	140,021
Property, plant and equipment	33,553,741	26,964,198	21,510,354	4,381,380	3,799,803
Total assets	**379,384,198**	**244,917,414**	**167,175,043**	**75,493,922**	**62,609,260**
Liabilities and equity					
Liabilities					
Bank overdrafts	9,266,199	6,118,548	2,819,302	3,354,589	354,777
Trading liabilities - fair value through profit or loss	17,859	501,490	405,434	-	1,203
Deposits liabilities	74,165,733	50,587,239	49,614,880	-	-
Interest bearing borrowings	205,774,162	113,113,592	64,048,889	35,014,815	24,661,179
Insurance provision - life	1,519,565	774,865	271,792	-	-
Insurance provision - general	2,136,529	1,595,644	1,248,685	-	-
Current tax payables	2,084,535	1,635,727	1,058,724	322,775	193,901
Trade and other payables	11,607,693	8,074,796	5,464,397	1,115,444	2,327,317
Deferred tax liabilities	3,930,667	3,301,909	2,220,836	-	-
Deferred income	652,104	607,654	11,390	-	-
Retirement benefit obligations	2,063,282	2,518,644	355,199	184,863	174,515
Total liabilities	**313,218,328**	**188,830,108**	**127,519,528**	**39,992,486**	**27,712,892**
Equity					
Stated capital (475,200,000 shares)	475,200	475,200	475,200	475,200	475,200
Reserves	5,225,839	5,304,386	5,357,905	1,653,318	1,772,798
Retained earnings	31,973,392	22,640,506	16,804,447	33,372,918	32,648,370
Equity attributable to shareholders of the Company	**37,674,431**	**28,420,092**	**22,637,552**	**35,501,436**	**34,896,368**
Non-controlling interests	**28,491,439**	**27,667,214**	**17,017,963**	**-**	**-**
Total equity	**66,165,870**	**56,087,306**	**39,655,515**	**35,501,436**	**34,896,368**
Total liabilities & equity	**379,384,198**	**244,917,414**	**167,175,043**	**75,493,922**	**62,609,260**
Net assets per share (Rs.)	**79.28**	**59.81**	**47.64**	**74.71**	**73.44**

I certify that these Financial Statements have been prepared and presented in compliance with the requirements of the Companies Act, No.07 of 2007.

Sgd.
Mrs. S.S. Kotakadeniya
Chief Financial Officer - LOLC Group

The board of directors is responsible for the preparation and the presentation of these Financial Statements.
Approved and signed for and on behalf of the Board;

Sgd.
Mrs. K.U. Amarasinghe
Executive Director
27th May 2016, Rajagiriya (Greater Colombo)

Sgd.
Mr. W.D.K. Jayawardena
Group Managing Director / CEO

Lanka Orix Leasing Company PLC
Statement of Profit or Loss

	Group					
	Three Months Ended			Year Ended		
	31-Mar-16 Rs.' 000 Un-audited	31-Mar-15 Rs.' 000 Un-audited Restated	Variance %	31-Mar-16 Rs.' 000 Un-audited	31-Mar-15 Rs.' 000 Un-audited Restated	Variance %
Gross income	**18,657,403**	**13,702,641**	**36**	**66,027,493**	**44,585,605**	**48**
Interest income	11,096,196	7,745,188	43	38,654,651	27,774,990	39
Interest expense	(6,151,046)	(3,430,765)	79	(18,530,960)	(12,508,370)	48
Net interest income	**4,945,150**	**4,314,423**	**15**	**20,123,691**	**15,266,620**	**32**
Revenue	5,663,722	2,995,132	89	20,269,524	10,728,830	89
Cost of sales	(2,839,659)	(1,844,757)	54	(12,702,851)	(7,239,535)	75
Gross profit	**2,824,063**	**1,150,375**	**145**	**7,566,673**	**3,489,295**	**117**
Income	741,839	1,433,843	(48)	6,241,444	4,752,194	31
Other income/(expenses) (Including net finance cost)	1,155,646	1,528,478	(24)	861,874	1,329,591	(35)
Profit before operating expenses	**9,666,698**	**8,427,119**	**15**	**34,793,682**	**24,837,700**	**40**
Operating expenses						
Direct expenses excluding finance costs	(1,037,097)	(1,252,279)	(17)	(3,900,500)	(3,142,816)	24
Personnel costs	(3,985,172)	(1,709,891)	133	(10,309,111)	(4,970,286)	107
Net impairment (loss) / reversal on financial assets	(801,078)	(1,706,823)	(53)	(2,978,060)	(4,133,977)	(28)
Depreciation and amortization	(507,061)	(341,708)	48	(1,577,848)	(1,067,178)	48
Other operating expenses	(1,593,692)	(2,449,731)	(35)	(7,264,488)	(5,972,501)	22
Results from operating activities	**1,742,598**	**966,687**	**80**	**8,763,675**	**5,550,942**	**58**
Share of profits of equity accounted investees	787,429	484,656	62	3,094,238	2,080,221	49
Gains on bargain purchases (negative goodwill)	-	415,330	(100)	-	415,330	(100)
Profit before income tax expense	**2,530,027**	**1,866,673**	**36**	**11,857,913**	**8,046,493**	**47**
Income tax expense	(333,718)	(156,600)	113	(2,526,526)	(1,870,647)	35
Profit for the period	**2,196,309**	**1,710,073**	**28**	**9,331,387**	**6,175,846**	**51**
Profit attributable to;						
Equity holders of the Company	2,294,433	1,572,630	46	8,518,690	5,468,381	56
Non-controlling interests	(98,124)	137,443	(171)	812,697	707,465	15
	2,196,309	**1,710,073**	**28**	**9,331,387**	**6,175,846**	**51**
Basic earnings per share (Rs.)	**4.83**	**3.31**	**46**	**17.93**	**11.51**	**56**

Figures in brackets indicate deductions.

Lanka Orix Leasing Company PLC
Statement of Other Comprehensive Income

	Group					
	Three Months Ended			Year Ended		
	31-Mar-16 Rs.' 000 Un-audited	31-Mar-15 Rs.' 000 Un-audited Restated	Variance %	31-Mar-16 Rs.' 000 Un-audited	31-Mar-15 Rs.' 000 Un-audited Restated	Variance %
Profit for the period	**2,196,309**	**1,710,073**	**28**	**9,331,387**	**6,175,846**	**51**
Other comprehensive income						
Net change in fair value of available-for-sale financial assets	(603,779)	(33,567)	1,699	(624,567)	393,106	(259)
Transfers upon disposals	-	(114,374)	-	-	(114,374)	(100)
Net movement of cash flow hedges	300,639	(162,038)	(286)	416,017	(120,916)	(444)
Defferdt Tax Impact on cash flow hedge	(71,299)	-	-	(71,299)	-	-
Effect on translation differences for foreign operations	200,026	113,836	76	529,771	215,626	146
Revaluation of property, plant and equipment	1,960,991	209,287	837	1,960,991	209,287	837
Deferred tax on revaluation	(137,435)	2,265	(6,168)	(137,435)	2,265	(6,168)
Re-measurement of defined benefit liabilities	520,882	(10,882)	(4,887)	520,882	(13,017)	(4,102)
Deferred tax on re-measurement of defined benefit liabilities	(40,655)	78	(52,222)	(40,655)	78	(52,222)
Share of other comprehensive income of equity accounted investees (net of tax)	(757,086)	(117,359)	545	(757,086)	(117,359)	545
Other comprehensive income/ (expense) for the year, net of tax	**1,372,284**	**(112,754)**	**(1,317)**	**1,796,619**	**454,696**	**295**
Total comprehensive income / (expense) for the perio	**3,568,593**	**1,597,319**	**123**	**11,128,006**	**6,630,542**	**68**
Total comprehensive income / (expense) attributable to;						
Equity holders of the Company	1,969,532	1,247,385	58	8,479,359	5,706,236	49
Non-controlling interests	1,599,061	349,934	357	2,648,647	924,306	187
Total comprehensive income / (expense) for the perio	**3,568,593**	**1,597,319**	**123**	**11,128,006**	**6,630,542**	**68**

Figures in brackets indicate deductions.

Lanka Orix Leasing Company PLC
Statement of Profit or Loss

	Company					
	Three Months Ended			Year Ended		
	31-Mar-16 Rs.' 000	31-Mar-15 Rs.' 000	Variance %	31-Mar-16 Rs.' 000	31-Mar-15 Rs.' 000	Variance %
Gross income	**1,854,049**	**1,060,750**	**75**	**4,831,549**	**2,914,376**	**66**
Interest income	567,505	306,112	85	1,883,911	988,486	91
Interest expense	(972,157)	(493,849)	97	(3,191,054)	(1,686,278)	89
Net interest income	**(404,652)**	**(187,737)**	**182**	**(1,307,143)**	**(697,792)**	**180**
Income	9,889	9,084	9	71,159	57,752	23
Other income/(expenses)	1,276,655	745,554	71	2,876,479	1,868,138	54
Profit before operating expenses	**881,892**	**566,901**	**56**	**1,640,495**	**1,228,098**	**34**
Operating expenses						
Direct expenses excluding finance costs	(9,663)	2,098	(561)	(63,377)	(13,303)	376
Personnel costs	(72,449)	(62,484)	16	(175,454)	(155,396)	13
Net impairment (loss) / reversal on financial assets	2,198	19,091	(88)	1,811	16,135	(89)
Depreciation and amortization	(132,373)	(71,742)	85	(360,747)	(306,724)	18
Other operating expenses	(69,123)	(85,581)	(19)	(207,796)	(310,606)	(33)
Profit before income tax expense	**600,482**	**368,283**	**63**	**834,932**	**458,204**	**82**
Income tax expense	(80,507)	56,586	(242)	(146,153)	45,408	(422)
Profit for the period	**519,975**	**424,869**	**22**	**688,779**	**503,612**	**37**
Profit attributable to;						
Equity holders of the Company	519,975	424,869	22	688,779	503,612	37
	519,975	**424,869**	**22**	**688,779**	**503,612**	**37**
Basic earnings per share (Rs.)	**1.09**	**0.89**	**22**	**1.45**	**1.06**	**37**

Figures in brackets indicate deductions.

Statement of Other Comprehensive Income

	Company					
	Three Months Ended			Year Ended		
	31-Mar-16 Rs.' 000	31-Mar-15 Rs.' 000	Variance %	31-Mar-16 Rs.' 000	31-Mar-15 Rs.' 000	Variance %
Profit for the period	**519,975**	**424,869**	**22**	**688,779**	**503,612**	**37**
Other comprehensive income						
Net change in fair value of available-for-sale financial assets	(170,856)	(59,217)	189	(101,931)	266,963	(138)
Net movement of cash flow hedges	827	-	-	(719)	-	-
Other comprehensive income/ (expense) for the year, net of tax	**(170,029)**	**(59,217)**	**187**	**(102,650)**	**266,963**	**(138)**
Total comprehensive income / (expense) for the period	**349,946**	**365,652**	**(4)**	**586,129**	**770,575**	**(24)**
Total comprehensive income / (expense) attributable to;						
Equity holders of the Company	349,946	365,652	(4)	586,129	770,575	(24)
Total comprehensive income / (expense) for the period	**349,946**	**365,652**	**(4)**	**586,129**	**770,575**	**(24)**

Figures in brackets indicate deductions.

Lanka Orix Leasing Company PLC
Statement of Changes in Equity
For the year ended 31 March 2016

Group	Equity Attributable to the Owners of the Company											
	Stated Capital	Revaluation Reserve	Cash flow hedge Reserve	Fair Value Reserve on AFS	Translation Reserve	Future Taxation Reserve	Statutory Reserve Fund	Investment Fund	Retained Earnings	Total	Non-controlling Interests	Total Equity
	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000
Balance as at 01 April 2014 (Restated)	**475,200**	**2,752,543**	**28,394**	**167,018**	**161,493**	**205,000**	**1,290,782**	**752,675**	**16,804,447**	**22,637,552**	**17,017,963**	**39,655,515**
Total comprehensive income for the period												
Profit for the period	-	-	-	-	-	-	-	-	5,468,381	**5,468,381**	707,465	**6,175,846**
Other comprehensive income												
Net change in fair value of available-for-sale financial assets	-	-	-	301,086	-	-	-	-	-	**301,086**	92,020	**393,106**
Transfers upon disposals				(43,018)						**(43,018)**	(71,356)	**(114,374)**
Revaluation of property, plant and equipment		89,961								**89,961**	119,326	**209,287**
Deferred tax on revaluation		852								**852**	1,413	**2,265**
Net movement of cash flow hedges	-	-	(131,288)	-	-	-	-	-	-	**(131,288)**	10,372	**(120,916)**
Effect on translation differences for foreign operations	-	-	-	-	165,627	-	-	-	-	**165,627**	49,999	**215,626**
Re-measurement of defined benefit liabilities	-	-	-	-	-	-	-	-	(7,551)	**(7,551)**	(5,466)	**(13,017)**
Deferred tax on re-measurement of defined benefit liabilities	-	-	-	-	-	-	-	-	70	**70**	8	**78**
Share of other comprehensive income of equity accounted investees	-	99,724	-	(180,123)	-	-	-	-	(57,485)	**(137,884)**	20,525	**(117,359)**
Total comprehensive income for the period	**-**	**190,537**	**(131,288)**	**77,945**	**165,627**	**-**	**-**	**-**	**5,403,415**	**5,706,236**	**924,306**	**6,630,542**
Dividends paid during the period	-	-	-	-	-	-	-	-	-	**-**	(153,931)	**(153,931)**
Acquisition of non-controlling interests	-	-	-	-	-	-	-	-	-	**-**	8,773,296	**8,773,296**
Adjustments due to changes in group holdings and other consolidation adjustments	-		-	-	-	-	-	-	115,997	**115,997**	1,127,281	**1,243,278**
Depreciation transfer on revaluation	-	(10,666)	-	-	-	-	-	-	10,666	**-**	-	**-**
Share issue expenses	-	-	-	-	-	-	-		(39,693)	**(39,693)**	(21,701)	**(61,394)**
Transfers	-	-	-	-	-	-	407,001	(752,675)	345,674	**-**	-	**-**
Balance as at 31 March 2015	**475,200**	**2,932,414**	**(102,894)**	**244,963**	**327,120**	**205,000**	**1,697,783**	**-**	**22,640,506**	**28,420,092**	**27,667,214**	**56,087,306**

Lanka Orix Leasing Company PLC
Statement of Changes in Equity
For the year ended 31 March 2016

	Equity Attributable to the Owners of the Company											
Group	**Stated Capital**	**Revaluation Reserve**	**Cash flow hedge Reserve**	**Fair Value Reserve on AFS**	**Translation Reserve**	**Future Taxation Reserve**	**Statutory Reserve Fund**	**Investment Fund**	**Retained Earnings**	**Total**	**Non-controlling Interests**	**Total Equity**
	Rs.' 000	**Rs.' 000**	**Rs.' 000**	**Rs.' 000**	**Rs.' 000**	**Rs.' 000**	**Rs.' 000**	**Rs.' 000**	**Rs.' 000**	**Rs.' 000**	**Rs.' 000**	**Rs.' 000**
Balance as at 01 April 2015 - Reported	**475,200**	**2,932,414**	**(102,894)**	**244,963**	**327,120**	**205,000**	**1,697,783**	**-**	**22,713,066**	**28,492,652**	**28,775,098**	**57,267,750**
Effect on LKAS 41 early adoption	-	-	-	-	-	-	-	-	(72,560)	**(72,560)**	(1,107,884)	**(1,180,444)**
Balance as at 01 April 2015 - Restated	**475,200**	**2,932,414**	**(102,894)**	**244,963**	**327,120**	**205,000**	**1,697,783**	**-**	**22,640,506**	**28,420,092**	**27,667,214**	**56,087,306**
Total comprehensive income for the period												
Profit for the period	-	-	-	-	-	-	-	-	8,518,690	**8,518,690**	812,697	**9,331,387**
Other comprehensive income												
Net change in fair value of available-for-sale financial assets	-	-	-	(594,628)	-	-	-	-	-	**(594,628)**	(29,939)	**(624,567)**
Net movement of cash flow hedges	-	-	378,174	-	-	-	-	-	-	**378,174**	37,843	**416,017**
Defferdt Tax Impact on cash flow hedge	-	-	(57,039)	-	-	-	-	-	-	**(57,039)**	(14,260)	**(71,299)**
Effect on translation differences for foreign operations	-	-	-	-	332,869	-	-	-	-	**332,869**	196,902	**529,771**
Revaluation of property, plant and equipment	-	483,317	-	-	-	-	-	-	-	**483,317**	1,477,674	**1,960,991**
Deferred tax on revaluation	-	(17,614)	-	-	-	-	-	-	-	**(17,614)**	(119,821)	**(137,435)**
Re-measurement of defined benefit liabilities	-	-	-	-	-	-	-	-	55,248	**55,248**	465,634	**520,882**
Deferred tax on re-measurement of defined benefit liabilities	-	-	-	-	-	-	-	-	(4,480)	**(4,480)**	(36,175)	**(40,655)**
Share of other comprehensive income of equity accounted investees	-	61,548	-	(755,700)	59,431	-	-	-	19,543	**(615,178)**	(141,908)	**(757,086)**
Total comprehensive income for the period	**-**	**527,251**	**321,135**	**(1,350,328)**	**392,300**	**-**	**-**	**-**	**8,589,001**	**8,479,359**	**2,648,647**	**11,128,006**
Dividends paid during the period	-	-	-	-	-	-	-	-	-	**-**	(208,150)	**(208,150)**
Dividend forfieted	-	-	-	-	-	-	-	-	3,676	**3,676**	33	**3,709**
Acquisition of non-controlling interests / NCI contributions	-	-	-	-	-	-	-	-	-	**-**	599,484	**599,484**
Adjustments due to changes in group holdings and other consolidation adjustments	-	-	-	-	-	-	-	-	771,763	**771,763**	(2,213,748)	**(1,441,985)**
Depreciation transfer on revaluation	-	(25,480)	-	-	-	-	-	-	25,480	**-**	-	**-**
Share issue expenses	-	-	-	-	-	-	-	-	(459)	**(459)**	(2,041)	**(2,500)**
Transfers	-		-	-	-	-	56,575	-	(56,575)	**-**	-	**-**
Balance as at 31 March 2016	**475,200**	**3,434,185**	**218,241**	**(1,105,365)**	**719,420**	**205,000**	**1,754,358**	**-**	**31,973,392**	**37,674,431**	**28,491,439**	**66,165,870**

Figures in brackets indicate deductions.

Lanka Orix Leasing Company PLC
Statement of Changes in Equity
For the year ended 31 March 2016

Company	Equity attibutable to the shareholders of the Company						
	Stated Capital	Revaluation Reserve	Cash flow hedge Reserve	Fair Value Reserve on AFS	Future Taxation Reserve	Retained Earnings	Total
	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000
Balance as at 01 April 2014	**475,200**	**1,300,116**	**4,146**	**-**	**205,000**	**32,144,815**	**34,129,277**
Total comprehensive income for the period							
Profit for the period	-	-	-	-	-	503,612	**503,612**
Other comprehensive income							
Net change in fair value of available-for-sale financial assets (net of tax)	-	-	-	266,963	-	-	**266,963**
Net movement of cash flow hedges	-	-	(3,427)	-	-	-	**(3,427)**
Re-measurement of defined benefit liabilities	-	-	-	-	-	(57)	**(57)**
Total comprehensive income for the period	-	-	(3,427)	266,963	-	503,555	**767,091**
Balance as at 31 March 2015	**475,200**	**1,300,116**	**719**	**266,963**	**205,000**	**32,648,370**	**34,896,368**
Balance as at 01 April 2015 - Reported	**475,200**	**1,300,116**	**719**	**266,963**	**205,000**	**32,648,370**	**34,896,368**
Total comprehensive income for the period							
Profit for the period	-	-	-	-	-	688,779	**688,779**
Other comprehensive income							
Net change in fair value of available-for-sale financial assets (net of tax)	-	-	-	(101,931)	-	-	**(101,931)**
Net movement of cash flow hedges	-	-	(719)	-	-	-	**(719)**
Re-measurement of defined benefit liabilities	-	-	-	-	-	18,939	**18,939**
Total comprehensive income for the period	**-**	**-**	**(719)**	**(101,931)**	**-**	**707,718**	**605,068**
Depreciation transfers	-	(16,830)	-	-	-	16,830	**-**
Balance as at 31 March 2016	**475,200**	**1,283,286**	**-**	**165,032**	**205,000**	**33,372,918**	**35,501,436**

Figures in brackets indicate deductions.

Lanka Orix Leasing Company PLC
Statement of Cash Flows

For the year ended 31 March	Group 2016 Rs.' 000	Group 2015 Rs.' 000	Company 2016 Rs.' 000	Company 2015 Rs.' 000
CASH FLOW FROM OPERATING ACTIVITIES				
Profit before income tax expense	11,857,913	8,046,493	834,932	458,204
Adjustment for:				
(Gain) / loss on sale of property, plant and equipment	(135,156)	(311,484)	(116,939)	(93,287)
Depreciation and amortization	1,577,848	1,067,178	360,747	306,723
Insurance provision	1,285,585	850,032	-	-
Change in fair value of forward contracts	(108,825)	60,242	-	-
Provision for gratuity	351,302	82,331	14,978	30,584
Net impairment (loss) / reversal on financial assets	2,978,060	4,133,976	(1,811)	(16,135)
Provision for fall/(increase) in value of investments	99,615	(104,977)	-	57,933
Interest income	(1,809,205)	(1,550,099)	(287,397)	(265,161)
Finance costs	20,098,346	13,606,058	3,191,054	1,686,279
Gain on disposal of associates	4,865	-		-
(Profit)/loss on sale of quoted and non-quoted shares	(130,108)	(105,927)	1,654	49,402
Gain / (loss) on change in fair Value of consumer biological assets	194,354	-	-	-
Share of profits of equity accounted investees	(3,094,238)	(1,938,465)	-	-
Gain on disposal of associates	(50,963)	-	-	-
Results from acquisition of subsidiaries	-	(415,330)	-	-
Transaction cost on acquisition of subsidiaries	-	18,724	-	-
Amortisation of deferred income	(32,416)	(11,390)		-
Change in fair value of investment properties	(135,120)	(152,182)	(9,000)	(12,500)
Foreign exchange gain / (loss)	80,402	(6,536)	-	-
Provision for slow moving inventories	(88,519)	(180,657)	-	-
Fair value of previousely held interest in BRAC	-	(15,554)	-	-
Operating profit before working capital changes	**32,943,740**	**23,072,433**	**3,988,218**	**2,202,042**
Working capital changes				
Increase/(decrease) in trade and other payables	4,043,033	1,907,864	(1,143,573)	1,934,978
(Increase)/decrease in investment in leases, hire purchase and others	(11,194,860)	(5,072,798)	(7,237)	(614)
(Increase)/decrease in investment in advances and other loans	(64,705,536)	(33,412,605)	373,569	219,537
(Increase)/decrease in premium receivables	(199,066)	(152,510)	-	-
(Increase)/decrease in inventories	(1,723,092)	416,502	(452,510)	34,186
(Increase)/decrease in trade and other receivables	(1,365,983)	(1,135,444)	(11,839,569)	(8,807,164)
(Increase)/decrease in customer deposits	23,578,494	855,585	-	-
Cash generated from operations	**(18,623,270)**	**(13,520,973)**	**(9,081,102)**	**(4,417,035)**
Finance cost paid	(19,220,507)	(13,566,660)	(3,275,596)	(1,817,461)
Income tax and Economic Service Charge paid	(1,612,221)	(1,151,728)	(1,525)	(6,299)
Defined benefit plan costs paid	(325,542)	(29,576)	(4,630)	(5,181)
Net cash from/(used in) operating activities	**(39,781,540)**	**(28,268,937)**	**(12,362,853)**	**(6,245,976)**
CASH FLOW FROM INVESTING ACTIVITIES				
Investment in subsidiary companies	-	-	(189,881)	(3,175,705)
Net cash and cash equivalents on acquisition of subsidiary	(393,826)	(2,222,010)	-	-
Net cash and cash equivalents received on disposal of subsidiary	4,740	-	-	-
Investment in equity accounted investees	(276,539)	(163,647)	(166,172)	(640,958)
Proceeds from disposal of equity accounted investees	1,103,230	-	-	-
Acquisition of non-controlling interests	(1,396,139)	-	-	-
Acquisition of property, plant and equipment, investment properties and leasehold rights	(6,874,986)	(3,537,800)	(1,209,031)	(637,761)
Acquisition / (Disposal) of intangible assets	(263,284)	(138,935)	(70,000)	2,254
Net additions to trading assets	(1,276,812)	(38,651)	(26,777)	(299,238)
Net additions to investment securities	(42,693,742)	(549,558)	4,518	43,820
Proceeds from the sale of property, plant and equipment	637,578	592,703	343,610	212,734
Interest received	1,809,205	1,407,836	-	2,075
Dividend received	479,514	351,125	101,660	26,668
Net additions to biological assets	(248,543)	-	-	-
Net cash flow from investing activities	**(49,389,604)**	**(4,298,937)**	**(1,212,073)**	**(4,466,111)**
CASH FLOW FROM FINANCING ACTIVITIES				
Proceeds from interest bearing borrowings	113,999,450	56,587,181	12,327,945	12,485,600
Repayments of long-term interest bearing loans and borrowings	(22,218,903)	(25,452,075)	(1,943,337)	(1,593,096)
Dividends paid to non-controlling interests	(208,150)	(153,931)	-	-
NCI contributions to share issue of subsidiairies	245,000	1,109,149	-	-
Share issue expenses	(2,500)	(60,802)	-	-
Net cash generated from financing activities	**91,814,897**	**32,029,522**	**10,384,608**	**10,892,504**
Net increase/(decrease) in cash and cash equivalents during the year	2,643,753	(538,352)	(3,190,318)	180,417
Cash and cash equivalents at the beginning of the year	1,815,842	2,354,194	(125,068)	(305,484)
Cash and cash equivalents at the end of the year	**4,459,595**	**1,815,842**	**(3,315,386)**	**(125,067)**
Analysis of cash and cash equivalents at the end of the year				
Cash in Hand and Favorable Bank Balances	13,725,794	7,934,390	39,203	229,710
Unfavorable Bank Balances used for cash management purposes	(9,266,199)	(6,118,548)	(3,354,589)	(354,777)
	4,459,595	**1,815,842**	**(3,315,386)**	**(125,067)**

Lanka Orix Leasing Company PLC
Notes to the Interim Financial Statements

1 The Statement of Financial Position as at 31 March 2016, Statement of Profit or Loss, Statement of Other Comprehensive Income, Statement of Cash Flows and Statement of Changes in Equity of the Company and the Group for the year ended thereof are drawn up from unaudited financial statements of the Company, its subsidiaries, equity accounted investees (associates) and provide information as required by the Colombo Stock Exchange and LKAS 34. Further, provisions of the Companies Act No.7 of 2007 has been considered in preparing the said financial statements of the Company and of the Group.

2 Accounting policies, judgement, estimates and methods of computation as stated in the Annual Report for 2014/15 are followed in the preparation of these Interim Financial Statements.

3 Revenue includes revenue from trading, manufacturing, plantation and other activities of the Group.

4 Interest income and income represent the income receivable for the period on all contracts, rentals on operating leases, income on factoring of client debtors, earned premium on insurance contracts and IT service fees. It includes all income related to operations such as interest on overdue rentals, profit/loss on leases and loans terminated and collections on contracts written off.

5 Other income / (expenses) includes foreign exchange gains / (losses), realized capital gains, capital gains and losses arising from marked to market valuation of quoted shares held for trading purposes, rent income and dividend.

6 All expenses related to management expenditure is fully provided for in the financial statements.

7 There are no significant changes in the nature of the contingent liabilities disclosed in the Financial Statements for the year ended 31 March 2015

8 No circumstances have arisen since the reporting date, which would require adjustments to or disclosure in the financial statements.

9 Market prices of ordinary shares recorded during the quarter ended 31st March 2016 are as follows;

	Rs.
Closing price	72.00
Highest Price (04 January 2016)	94.50
Lowest Price (09 March 2015)	64.10

10 Information on Company's listed debentures

- Interest rate of comparable government security

Buying and Selling prices of Treasury Bonds at the auction held on 24 March 2016

	4 Year Bond		5 Year Bond	
	Price (Rs.)	Yield (%)	Price (Rs.)	Yield (%)
Buying	89.14	11.49	91.87	11.92
Selling	89.88	11.26	92.89	11.64

Market prices and yield during the year (ex interest)

	Price (Rs.)	Yield (%)
4 Year Bond	99.89	8.38
5 Year Bond	99.63	8.83

Debt to equity	1.13	times
Interest cover	1.64	times

11 Early Adoption of Amendments to LKAS 16 and LKAS 41 (Agriculture : Bearer Plants)

Pursuant to the amendments on Agriculture: Bearer Plants (Amendments to LKAS 16 and LKAS 41), issued in March 2015 by The Institute of Chartered Accountants of Sri Lanka amended paragraphs 3, 6 and 37, added paragraphs 22A and 81L–81M of LKAS 16, amended paragraphs 1–5, 8, 24 and 44, added paragraphs 5A–5C and 63 of LKAS 41. An entity shall apply those amendments for annual periods beginning on or after 1 January 2016 and permitted early adoption. Consequently the Group has decided to early adopt the said amendments and chose to change its existing accounting policies on Bearer Plants under Historical Cost Model in compliance with the LKAS 16.

The impact on the early adoption to the group financial statements explained below;

Effect on Total Comprehensive Income

		Group		
		For the Year Ended 31-Mar-15		
		Rs.'000	Rs.'000	Rs.'000
	Note	As Previously Reported	Re-measurement	As Per Amendments
Gross income		**43,256,014**	**-**	**43,256,014**
Interest expenses		27,774,990	-	27,774,990
Interest expenses		(12,508,370)	-	(12,508,370)
Net interest income		**15,266,620**	**-**	**15,266,620**
Revenue		10,728,830	-	10,728,830
Cost of sales		(7,239,535)	-	(7,239,535)
Gross profit		**3,489,295**	**-**	**3,489,295**
Income		4,752,194	-	4,752,194
Other income/(expenses)		1,329,591	-	1,329,591
Profit before operating expenses		**24,837,700**	**-**	**24,837,700**
Operating expenses				
Direct expenses excluding finance costs		(3,142,816)	-	(3,142,816)
Personnel costs		(4,970,286)	-	(4,970,286)
Net impairment loss on financial assets		(4,133,977)	-	(4,133,977)
Depreciation and amortization		(1,067,178)	-	(1,067,178)
Other operating expenses		(5,972,501)	-	(5,972,501)
Results from operating activities		**5,550,942**	**-**	**5,550,942**
Share of profits of equity accounted investees		1,938,465	141,756	2,080,221
Results on acquisition of Group investments		660,947	(245,617)	415,330
Profit before income tax expense		**8,150,354**	**(103,861)**	**8,046,493**
Income tax expense		(1,870,647)	-	(1,870,647)
Profit for the year		**6,279,707**	**(103,861)**	**6,175,846**
Profit attributable to;				
Equity holders of the Company		5,399,185	69,196	5,468,381
Non-controlling interests		880,522	(173,057)	707,465
		6,279,707	**(103,861)**	**6,175,846**
Basic earnings per share (Rs.)		**11.36**	**0.15**	**11.51**

Figures in brackets indicate deductions

Early Adoption of Amendments to LKAS 16 and LKAS 41 (Agriculture : Bearer Plants) - Contd.

Effect on Statement of Financial Position		**As at 01 April 2014**			**As at 31 March 2015**		
	Note	**Previously Reported**	**Re-measurement**	**Restated**	**Previously Reported**	**Re-measurement**	**Restated**
Statement of Financial Position		**Rs.' 000**	**Rs.' 000**	**Rs.' 000**	**Rs.' 000**	**Rs.' 000**	**Rs.' 000**
Assets							
Cash and cash equivalents		5,173,497	-	5,173,497	7,934,390	-	7,934,390
Trading assets - fair value through profit or loss		885,802	-	885,802	1,106,441	-	1,106,441
Investment securities		16,172,946	-	16,172,946	18,302,263	-	18,302,263
Finance lease receivables, hire		36,259,242	-	36,259,242	41,335,375	-	41,335,375
Advances and other loans		54,285,641	-	54,285,641	98,525,051	-	98,525,051
Insurance premium receivables		449,589	-	449,589	602,099	-	602,099
Inventories		1,868,627	-	1,868,627	1,833,672	-	1,833,672
Current tax assets		1,103,421	-	1,103,421	1,183,563	-	1,183,563
Trade and other current assets		7,047,160	-	7,047,160	9,103,067	-	9,103,067
Prepaid lease rentals on leasehold properties		51,088	-	51,088	342,816	-	342,816
Investment properties		6,655,490	-	6,655,490	8,807,369	-	8,807,369
Real estate stocks		-	-	-	-	-	-
Biological Assets;							
Consumer Biological Assets		-	-	-	6,383,655	-	6,383,655
Bearer Biological Assets		-	-	-	5,803,318	(1,145,811)	4,657,507
Investments in group companies;							-
Subsidiary companies		-	-	-	-	-	-
Jointly controlled entities		1,468,716	(264,565)	1,204,151	-	-	-
Equity accounted investees - Associates		13,472,316	-	13,472,316	15,067,850	-	15,067,850
Deferred tax assets		313,170	-	313,170	516,785	-	516,785
Intangible assets		722,549	-	722,549	2,251,313	-	2,251,313
Property, plant and equipment		21,510,354	-	21,510,354	26,964,198	-	26,964,198
Total assets		**167,439,608**	**(264,565)**	**167,175,043**	**246,063,225**	**(1,145,811)**	**244,917,414**
Liabilities and equity							
Liabilities							
Bank overdrafts		2,819,302	-	2,819,302	6,118,548	-	6,118,548
Trading liabilities - fair value through profit or loss		405,434	-	405,434	501,490	-	501,490
Deposits liabilities		49,614,880	-	49,614,880	50,587,239	-	50,587,239
Interest bearing borrowings		64,048,889	-	64,048,889	113,113,592	-	113,113,592
Insurance provision - life		271,792	-	271,792	774,865	-	774,865
Insurance provision - general		1,248,685	-	1,248,685	1,595,644	-	1,595,644
Current tax payables		1,058,724	-	1,058,724	1,635,727	-	1,635,727
Trade and other payables		5,464,397	-	5,464,397	8,074,796	-	8,074,796
Deferred tax liabilities		2,220,836	-	2,220,836	3,404,404	(102,495)	3,301,909
Deferred income		11,390	-	11,390	470,526	137,128	607,654
Retirement benefit obligations		355,199	-	355,199	2,518,644	-	2,518,644
Total liabilities		**127,519,528**	**-**	**127,519,528**	**188,795,475**	**34,633**	**188,830,108**
Equity							
Stated capital (475,200,000 shares)		475,200	-	475,200	475,200	-	475,200
Reserves		5,357,905	-	5,357,905	5,304,386	-	5,304,386
Retained earnings		17,069,012	(264,565)	16,804,447	22,713,066	(72,560)	22,640,506
Equity attributable to shareholders of the Company		**22,902,117**	**(264,565)**	**22,637,552**	**28,492,652**	**(72,560)**	**28,420,092**
Non-controlling interests		17,017,963	-	17,017,963	28,775,098	(1,107,884)	27,667,214
Total equity		**39,920,080**	**(264,565)**	**39,655,515**	**57,267,750**	**(1,180,444)**	**56,087,306**
Total liabilities & equity		**167,439,608**	**(264,565)**	**167,175,043**	**246,063,225**	**(1,145,811)**	**244,917,414**

Figures in brackets indicate deductions

Lanka Orix Leasing Company PLC
Operating Segments

For the Year ended 31 March 2016	Financial Services	Life & General Insurance	Manufacturing & Trading	Leisure & Entertainment	Plantation & Hydro power	Equity Accounted Investees	Others / Eliminations	Total
	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000
Gross income	49,013,466	3,802,488	15,384,503	1,319,006	5,734,203	-	(7,658,787)	**67,594,879**
Cost of sales	-	-	(10,247,716)	(303,285)	(2,255,059)	-	103,209	**(12,702,851)**
Net finance cost	(20,677,797)	-	(792,472)	(455,481)	(319,433)	-	2,146,837	**(20,098,346)**
Profit before operating expenses	**28,335,669**	**3,802,488**	**4,344,315**	**560,240**	**3,159,711**	**-**	**(5,408,741)**	**34,793,682**
Operating expenses	(18,659,128)	(3,878,836)	(3,220,298)	(1,177,761)	(3,828,987)	-	4,735,003	**(26,030,007)**
Results from operating activities	**9,676,541**	**(76,348)**	**1,124,017**	**(617,521)**	**(669,276)**	**-**	**(673,738)**	**8,763,675**
Share of profits of equity accounted investees	-	-	-	-	-	3,094,238	-	**3,094,238**
Profit before taxation	**9,676,541**	**(76,348)**	**1,124,017**	**(617,521)**	**(669,276)**	**3,094,238**	**(673,738)**	**11,857,913**
For the Year ended 31 March 2015								
Gross income	34,740,806	2,831,262	10,927,299	1,211,350	-	-	(5,125,112)	44,585,605
Cost of sales	-	-	(7,147,320)	(246,308)	-	-	154,093	(7,239,535)
Net finance cost	(12,873,440)	-	(606,562)	(491,126)	-	-	1,462,758	(12,508,370)
Profit before operating expenses	21,867,366	2,831,262	3,173,417	473,916	**-**	**-**	(3,508,261)	24,837,700
Operating expenses	(14,778,226)	(3,066,951)	(2,596,156)	(1,033,532)	-	-	2,188,107	(19,286,758)
Results from operating activities	**7,089,140**	**(235,689)**	**577,261**	**(559,616)**	**-**	**-**	**(1,320,154)**	**5,550,942**
Share of profits of equity accounted investees	-	-	-	-	-	2,080,221	-	2,080,221
Gains on bargain purchases (negative goodwill)	-	-	-	-	-	-	415,330	415,330
Profit before taxation	**7,089,140**	**(235,689)**	**577,261**	**(559,616)**	**-**	**2,080,221**	**(904,824)**	**8,046,493**

For the Year ended 31 March 2016	Financial Services	Life & General Insurance	Manufacturing & Trading	Leisure & Entertainment	Plantation & Hydro power	Equity Accounted Investees	Others / Eliminations	Total
	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000
Net impairment (loss) / reversal on financial assets	2,965,889	13,493	(1,323)	-	-	-	-	**2,978,059**
Depreciation and amortization	588,567	45,338	305,651	260,094	353,605	-	24,593	**1,577,848**
Total assets (as at 31 March 2016)	-	-	-	-	-	-	379,384,198	**379,384,198**
Total liabilities (as at 31 March 2016)	-	-	-	-	-	-	313,218,328	**313,218,328**
For the Year ended 31 March 2015								
Net impairment (loss) / reversal on financial assets	4,137,860	(11,025)	7,142	-	-	-	-	**4,133,977**
Depreciation and amortization	503,429	47,905	248,750	220,126	-	-	46,968	**1,067,178**
Total assets (as at 31 March 2015)	213,876,427	4,944,626	24,438,659	23,528,618	-	-	(21,870,916)	**244,917,414**
Total liabilities (as at 3131 March 2015)	172,558,087	2,788,911	12,240,719	6,473,261	-	-	(5,230,870)	**188,830,108**

** - The results of plantation and hydro power segment in the comparative period (March 2015), are shown under equity accounted investees. This segments represents the Browns Capital Group which was an equity accounted investee (Jointly controlled entity) for March 2015. With the acquisition of remaining 50% of Browns Capital Group, results are consolidated to LOLC financials, thus shown under seperate segment in the current period.

Lanka Orix Leasing Company PLC
Valuation of Financial Assets and Liabilities

Rs'000

As at 31 March 2016 - Group	Fair value - derivatives	Fair value - held for trading	Fair value through other comprehensive income - available for sale	Amortised cost / Not measured at fair value	Total carrying amount	Fair value	Fair value measurement level
Trading assets - fair value through profit or loss	-	2,413,746	-	-	**2,413,746**	**2,413,746**	Level 1 and Level 2
Investment securities	-	-	11,092,832	49,858,606	**60,951,438**	**60,951,438**	Level 1 and Level 2
Finance lease receivables, hire purchases and operating leases	-	-	-	51,666,748	**51,666,748**	**51,736,242**	Level 3
Advances and other loans	-	-	-	161,116,014	**161,116,014**	**161,745,916**	Level 3
Total financial assets	**-**	**2,413,746**	**11,092,832**	**262,641,368**	**276,147,946**	**276,847,342**	
Trading liabilities - fair value through profit or loss	17,859	-	-	-	**17,859**	**17,859**	Level 1
Deposits liabilities	-	-	-	74,165,733	**74,165,733**	**73,194,086**	Level 3
Interest bearing borrowings	-	-	-	205,774,162	**205,774,162**	**205,429,044**	Level 3
Total financial liabilities	**17,859**	**-**	**-**	**279,939,895**	**279,957,754**	**278,640,989**	

As at 31st March 2015 - Group	Fair value - derivatives	Fair value - held for trading	Fair value through other comprehensive income - available for sale	Amortised cost / Not measured at fair value	Total carrying amount	Fair value	Fair value measurement level
Trading assets - fair value through profit or loss	-	1,106,441	-	-	**1,106,441**	**1,106,441**	Level 1 and Level 2
Investment securities	-	-	5,927,826	12,374,437	**18,302,263**	**18,340,905**	Level 1 and Level 2
Finance lease receivables, hire purchases and operating leases	-	-	-	41,335,375	**41,335,375**	**41,560,280**	Level 3
Advances and other loans	-	-	-	98,525,051	**98,525,051**	**98,629,448**	Level 3
Total financial assets	**-**	**1,106,441**	**5,927,826**	**152,234,863**	**159,269,130**	**159,637,074**	
Trading liabilities - fair value through profit or loss	501,490	-	-	-	**501,490**	**501,490**	Level 1
Deposits liabilities	-	-	-	50,587,239	**50,587,239**	**50,807,157**	Level 3
Interest bearing borrowings	-	-	-	113,113,592	**113,113,592**	**112,992,570**	Level 3
Total financial liabilities	**501,490**	**-**	**-**	**163,700,831**	**164,202,321**	**164,301,217**	

For the cash and cash equivalents, short term receivables and payables, the fair value reasonably approximates its costs.

Lanka Orix Leasing Company PLC

Statement of Directors' holding and Chief Executive Officer's holding in shares of the Entity as at 31 March 2016

Directors Name	No of shares	%
Mr. R M Nanayakkara *Chairman*	172,492,292	36.299
Mr. I C Nanayakkara *Deputy Chairman (Also Alternate Director to Mr R M Nananayakkara)*	59,895,500	12.604
Mr. W D K Jayawardena *Group Managing Director / CEO*	-	-
Mrs. K U Amarasinghe	23,760,000	5.000
Deshamanya M D D Peiris	-	-
Mr. R A Fernando	12,600	0.003
Mr. H Yamaguchi	-	-
Mr. H Nishio	-	-
Mr. K Okuno (Altemate Director to Mr. H Nishio)	-	-
Mr. T Kaneda (Alternate Director to Mr. H Yamaguchi)	-	-

Top 20 shareholders as at 31 December 2015

	Shareholder	No. of Shares	% of Issued Capital
1	Mr. R M Nanayakkara	172,492,292	36.299
2	Orix Corporation	142,560,000	30.000
3	Mr. I C Nanayakkara	59,895,500	12.604
4	Mrs. K U Amarasinghe	23,760,000	5.000
5	Employees Provident Fund	15,182,259	3.195
6	HSBC Intl Nom Ltd - BBH - Mathews International Funds	12,121,473	2.551
7	Dr. R R De Silva	7,602,599	1.600
8	HSBC Intl Nom Ltd - State Street Luxembourg C/O SSBT-ABN Amro Multi Manager Funds	6,937,775	1.460
9	Mrs. I Nanayakkara	2,827,948	0.595
10	Employees Trust Fund Board	2,740,493	0.577
11	Estate of Late Mr. M Radhakrishnan (Deceased)	1,500,000	0.316
12	HSBC - Mr. R C De Silva	1,150,000	0.242
13	Mr. G G Ponnambalam	1,044,960	0.220
14	Dr. M Ponnambalam	1,044,960	0.220
15	Swasthika Mills LTD	1,006,800	0.212
16	Mrs. S N Fernando	818,440	0.172
17	Mr. S Nadesan	660,000	0.139
18	National Savings Bank	606,900	0.128
19	CONFIFI Management Services (Private) Ltd	600,000	0.126
20	HSBC Intl Nom Ltd - BBH - Mathews Emerging Asia Fund	573,466	0.121
		455,125,865	**95.776**

The Public Shareholding as at 31 March 2016 was 15.499% comprising of 3,100 shareholders.